

EXECUTIVE SUMMARY

Aura Life Sciences is a high-growth, digital-first wellness brand exhibiting best-in-class gross margins and a successful pivot to EBITDA profitability. At an IPO offer price of ₹66.00, the company is valued at a significant discount to its intrinsic value of ₹84.50 (DCF) and its relative peer value of ₹118.70. We recommend a **SUBSCRIBE** rating with a conservative upside of 28% and potential multi-bagger re-rating.

INVESTMENT THESIS

Premium Moat: 60% Gross Margins driven by direct marketplace fulfillment and brand premium in the wellness category.

Profitability Inflection: Transition to positive EBITDA (FY25E ₹38.4 Cr) proves operational leverage and scalable unit economics.

Market Tailwinds: Operating in a sector growing at 19% CAGR, capturing shift from generic to clean-label health products.

Financial Discipline: Post-IPO deleveraging reduces Net Debt to ₹12 Cr, significantly strengthening the balance sheet.

KEY FINANCIALS (FY25E)

Revenue: ₹315.8 Cr
EBITDA (Margin): ₹38.4 Cr (12.1%)
PAT : ₹28.6 Cr
ROE (Projected): 18.4%
Post-IPO Net Debt: ₹12.0 Cr

VALUATION SUMMARY & TRIANGULATION

Methodology	Low	Base (Target)	High	Weighting
Discounted Cash Flow (DCF)	₹76.00	₹84.50	₹92.90	50%
Relative Value (EV/EBITDA)	₹84.40	₹118.70	₹142.30	50%
Blended Implied Value	₹80.20	₹101.60	₹117.60	100%

*Target price of ₹101.60 represents a 54% upside from the IPO price of ₹66.00.

KEY RISKS & MITIGANTS

Execution Risk: Intense competition from established FMCG giants. *Mitigant:* Agility in product launch cycles and high customer retention (35%+).

Margin Pressure: Inflation in raw material/whey costs. *Mitigant:* Fixed-price contracts and ability to pass costs to premium customer base.

Marketing CAC: Rising digital acquisition costs. *Mitigant:* Expansion into offline retail to diversify lead sources and lower blended CAC.

